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The Reputation Machine

How a century-old trust monopoly in auditing and consulting is being tested at both ends at once — by a technology that removes its labour advantage, and by a run of scandals that is removing its cover.

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TL;DR

- In October 2025, Deloitte Australia had to refund part of a AU$440,000 government fee after a report it produced turned out to contain a fabricated Federal Court quotation and citations to academic papers that don't exist. It was an embarrassment, but not really an anomaly — it was a symptom of something that had been building for two decades.[1]
- The audit industry that grew out of the "Big Eight" of the 1970s consolidated, through mergers and one criminal collapse, into today's "Big Four" — Deloitte, PwC, EY and KPMG — who now sit at the centre of almost every major corporate audit in the Western world.[2,3]
- That concentration solved a genuine problem — multinational companies needed one consistent outside verifier — but it hardened into a switching-cost trap. Once a firm becomes the safe, unimpeachable name, replacing it becomes a career risk nobody wants to take.
- The same firms turned their audit reputations into consulting empires, creating a structural conflict: the business paid to check a company's books and the business paid to redesign how that company runs sit inside the same partnership. That conflict produced real scandals, most visibly PwC Australia's 2023 tax-leak affair.[4,5,6]
- Regulator data shows audit quality was deteriorating well before generative AI entered the picture: US inspectors found the share of audits with serious deficiencies rose from 29% in 2020 to 40% in 2022.[7,8]
- AI now threatens the other pillar of the model — the army of cheap junior staff that made these firms' scale valuable in the first place — while, as the Deloitte case shows, simultaneously being blamed for making the quality problem worse.
- Regulatory pressure is closing in from several directions at once: the UK forced the Big Four to operationally separate audit from advisory by June 2024, and clients that had never switched auditors in living memory are starting to.[9,10,15]

I. Introduction and Scope

In July 2025, the Australian government published a 237-page report on its automated welfare-penalty system, commissioned from Deloitte at a cost of roughly AU$440,000. Within weeks, a University of Sydney law researcher noticed something odd: the report cited academic papers that did not exist and attributed a quotation to a Federal Court judgment that the judge had never written. Deloitte quietly rewrote the document, disclosed that it had used a generative AI system in producing it, and agreed to repay part of its fee.[1] Nobody was fired. No client left. The firm's share of Australian government work barely moved.

That non-event is the real story. A firm charging public money for work it apparently didn't fully check has become, for one of the most prestigious professional-services brands in the world, a manageable embarrassment rather than an existential one. This essay asks why that is — and why it might not stay that way.

The scope here is deliberately narrow. The clearest case study is the accounting-and-consulting complex generally known as the Big Four: Deloitte, PricewaterhouseCoopers, EY and KPMG. Their history is unusually well documented, their regulators publish hard inspection data, and their scandals have been large enough to leave a public paper trail. Where useful, this essay draws a comparison to adjacent industries built on the same logic — credit rating, strategy consulting, corporate law — because the pattern recurs: a small number of firms holding a market not through superior output but through the accumulated weight of being the name nobody gets blamed for hiring.

The argument is not that these firms are uniquely corrupt or uniquely incompetent. It is that a business model built on manufactured, self-reinforcing trust behaves in a specific and predictable way once that trust stops being tested: quality drifts down at the margin, conflicts of interest go unmanaged, and the whole arrangement survives on switching costs rather than performance. Two forces are now converging on that arrangement at the same time. One is a wave of scandals and regulatory intervention stripping away the assumption that these firms are simply too respectable to fail. The other is artificial intelligence, which cuts at something more structural: the labour-cost advantage that made a firm of 300,000 people worth more than a firm of thirty.

II. An Empire Built on Trust

The modern audit industry exists because of a genuinely hard coordination problem. When American and European companies began building operations across dozens of countries in the mid-twentieth century, each of those countries kept its books under a different tax code and a different set of accounting conventions. A company's shareholders, lenders and regulators all needed some way of knowing that the numbers coming out of a Brazilian subsidiary meant the same thing as the numbers coming out of a German one. The answer was to hire one outside firm, applying one consistent methodology, to check all of it. That is what gave rise to what were informally known as the "Big Eight": Arthur Andersen, Arthur Young, Coopers & Lybrand, Deloitte Haskins & Sells, Ernst & Whinney, Peat Marwick Mitchell, Price Waterhouse, and Touche Ross.

Consolidation followed almost immediately. In 1989, two mergers cut the field to six: Ernst & Whinney combined with Arthur Young to form Ernst & Young, and Deloitte Haskins & Sells combined with Touche Ross to form what is now simply Deloitte. In 1998, Price Waterhouse merged with Coopers & Lybrand to create PricewaterhouseCoopers, leaving five. Then, in 2002, Arthur Andersen collapsed entirely in the wake of its role auditing Enron — a story worth its own section below — leaving the four firms that dominate the field today.[2,3] By 2003, on the U.S. Federal Trade Commission's own accounting, the Big Four already audited over 78% of American public companies by firm count, and 99% of those companies' combined revenue.[3]

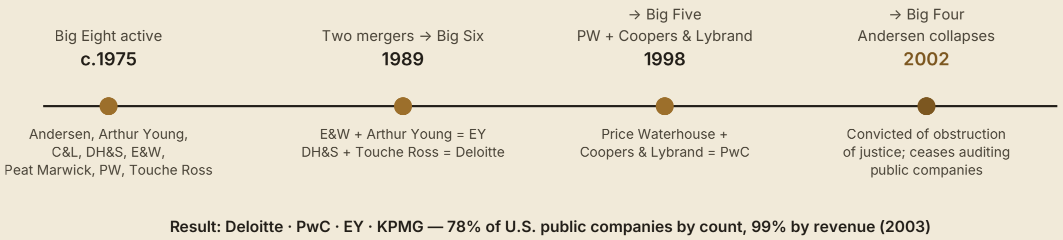

Fig. 1 — The consolidation of the Big Eight into the Big Four, 1989–2002. Sources: Financial Trade Commission staff submission to the OECD; industry histories.[2,3]

What makes this concentration durable rather than merely historical is the economics of switching. Choosing an auditor or a strategy consultant is not like choosing a supplier of components: it is a decision a board makes once and then has to defend for years afterward if anything goes wrong. "We hired McKinsey" is an easier sentence to say in a boardroom, or a courtroom, than "we hired a firm nobody on this board had heard of" — regardless of whether the smaller firm would have done better work. The same logic holds in adjacent industries built on the same trust mechanic: the credit-rating business has been dominated by S&P, Moody's and Fitch for the better part of a century, and international strategy work has long clustered around McKinsey, BCG and Bain, not because no one else can do the analysis, but because the name itself is doing part of the job.

The result, in audit specifically, is relationships that outlast the executives who started them. BCE Inc., Canada's largest telecommunications company, ran a competitive tender for its external audit in 2023 explicitly because of what it called "the long tenure of Deloitte LLP as BCE's external auditor" — a company whose predecessor entities date to 1880. The board ultimately moved the account to EY for the 2025 financial year.[11] The fact that this was newsworthy at all says something about how rarely it happens.

III. When the Machine Broke the First Time

Long before anyone worried about artificial intelligence hallucinating footnotes, the audit industry had already demonstrated what happens when reputation substitutes for scrutiny. By the late 1990s, Enron was one of the most admired companies in America, and Arthur Andersen — then one of the Big Five — was both its external auditor and one of its largest consulting clients. In 2000 alone, Andersen earned roughly $25 million auditing Enron's books and a further $27 million advising the company on tax and other matters.[12,13] Those two relationships were not walled off from one another in any meaningful sense; Andersen staff who grew the Enron relationship were the ones who got promoted.

Behind the audited numbers, Enron was using a web of off-balance-sheet partnerships to hide tens of billions of dollars in debt and inflate its apparent profitability. Identifying exactly that kind of manipulation was the entire point of paying an outside auditor. Andersen missed it, or chose not to see it, until the structure collapsed under its own weight in late 2001, taking Enron down with it in what was then the largest corporate bankruptcy in American history. Andersen itself was convicted of obstruction of justice in 2002 for destroying documents related to the case and ceased auditing public companies almost overnight, even though the U.S. Supreme Court would later overturn the conviction on narrow technical grounds — by which point the firm no longer existed in any commercial sense.[12,14]

The lesson available at the time was that an industry which had let itself become uncompetitive and structurally conflicted needed to be broken open. What happened instead was the opposite: the Big Five simply became the Big Four, and the survivors absorbed Andersen's former clients rather than facing any new competition for them.

IV. Auditing the Advice, Advising the Audit

The Enron collapse should have settled the argument about mixing audit and consulting inside one firm. It didn't, because the economics were too good to give up. Starting in the 1980s, the Big Eight realised that their audit relationships were themselves a distribution channel: once you were trusted enough to check a company's books, you were trusted enough to sell that same company advice on how to run itself. That is the lineage of Deloitte Consulting, PwC's strategy arm, EY-Parthenon and KPMG Advisory — and by 2023, advisory work of this kind was generating more combined revenue for the Big Four globally than audit and assurance work, according to industrytracking data cited by Bloomberg Law, with advisory fees running well ahead of audit fees across the group.[16]

The structural problem is straightforward: the division that is paid to certify a company's financial statements as accurate sits inside the same partnership as the division that is paid to redesign how that company operates, and both divisions often have access to the same confidential information. In theory, internal "Chinese walls" prevent that information from leaking between the two sides. In practice, the incentive to use it is difficult to resist once a firm has grown large enough to be doing both jobs for the same client, or for that client's direct competitors and regulators simultaneously.

The clearest recent illustration is PwC's Australian tax-leak affair. In 2013, the Australian Treasury brought in a PwC partner, Peter Collins, to help design new laws intended to stop multinational companies from shifting profits offshore to avoid tax. Collins signed three separate confidentiality agreements as part of that work. Over the following years he shared what he had learned about the government's unreleased plans with colleagues inside PwC's own tax-advisory practice, who used the information to help other multinational clients get ahead of rules PwC itself had helped write.[4,5,6] When Australia's Tax Practitioners Board published the internal emails in 2023, PwC's chief executive resigned within days, eight partners subsequently left the firm, and the fallout reached PwC's operations in the UK, US and Netherlands.[4,5] The firm ultimately sold its entire Australian government-consulting arm — roughly 1,750 staff and about a fifth of its Australian revenue — to a private equity buyer for the nominal sum of one Australian dollar.[6]

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Regulators have started to respond to this specific conflict rather than to audit failure in the abstract. In the UK, the Financial Reporting Council spent much of the 2020s pushing the Big Four toward "operational separation" — requiring each firm's audit practice to run its own governance and its own profit-and-loss account, insulated from the rest of the business, so that audit quality is no longer subsidised or compromised by the more lucrative advisory side. All four firms met the FRC's deadline of June 2024, a reform effort that traces its origins to the 2018 collapse of the construction and outsourcing giant Carillion, whose auditors had signed off on its accounts months before it went into liquidation.[9,10]

V. The Numbers Behind the Decline

None of this would matter much if the underlying audit work were still excellent. It has not been. The U.S. Public Company Accounting Oversight Board inspects a sample of public-company audits each year and grades them for whether the audit firm actually gathered enough evidence to support the opinion it signed. In 2020, 29% of the audits inspected had a serious deficiency of this kind. By 2021 that had risen to 34%, and by 2022 to 40% — a level the PCAOB's own chair, Erica Williams, called "completely unacceptable." The deterioration was sharpest among the largest international "global network firms," where the U.S. deficiency rate rose from 16% in 2020 to 30% in 2022.[7,8]

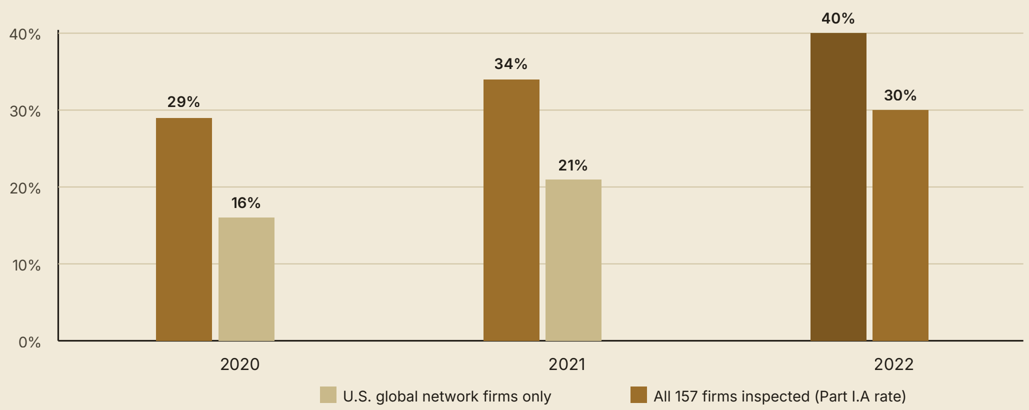

Fig. 2 — Share of PCAOB-inspected audits with a Part I.A deficiency (insufficient evidence to support the audit opinion), 2020–2022. Source: PCAOB staff inspection reports.[7,8]

This is not an abstract regulatory statistic. In 2014, Tesco — then Britain's largest retailer, and a PwC audit client since 1983 — announced that it had overstated its half-year profit forecast by £250 million, a figure that was later revised upward to £263 million once independent investigators went back through the books. PwC had flagged the relevant accounting judgment as an area of audit focus in its own report that same year and still failed to catch the manipulation. The affair triggered a Financial Reporting Council investigation, a Serious Fraud Office prosecution that produced a combined settlement north of £200 million, and, in 2015, the end of PwC's 32-year run as Tesco's auditor.[17,18,19]

VI. Then the Machine Learned to Write

For most of their history, the Big Four's scale was itself the product. A serious piece of audit or advisory work generally required more hours of document review, data reconciliation and drafting than any one partner could personally supply, which is why these firms were built around large pyramids of junior staff supporting a comparatively small number of partners. The best graduates from the best universities were funnelled into that pyramid almost by default, because no smaller firm could match the brand recognition on a CV or the sheer bench strength needed to win the largest mandates.

Generative AI attacks exactly that structure, in two directions at once. The obvious direction is efficiency: data extraction, document review and first-draft writing — the bulk of what junior staff have historically billed hours for — are precisely the tasks large language models now do quickly and cheaply, and the technology is not exclusive to firms with 300,000 employees. A two-partner boutique can rent the same capability a giant network firm can. That erodes the argument that a client needs to pay a premium for scale.

The less obvious direction is reputational, and the Deloitte Australia case that opened this essay is the clearest public example of it. A firm whose entire commercial proposition rests on the words "you can trust our work because we checked it" used an AI system to help produce a government report, and the system fabricated a court quotation and several academic citations that nobody appears to have caught before publication.[1] The tool that was supposed to let the firm do more with fewer billable hours instead produced exactly the kind of error the firm exists to prevent. That is a genuinely awkward position: the technology both removes the labour-cost justification for these firms' size and, used carelessly, actively damages the credibility that was the entire point of paying their fees in the first place.

VII. The Reckoning

Three separate pressures are now converging on the same industry within the same few years, which is unusual: a technology shift, a wave of scandal-driven regulation, and the first visible cracks in client loyalty that had held for generations.

The regulatory pressure is the most concrete. Beyond the UK's operational-separation requirement discussed above, Australia's response to the PwC tax-leak affair went further — the government referred the matter to the federal police for potential criminal investigation and effectively froze PwC out of new Commonwealth contracts until it restructured, forcing the firm to divest its government-consulting business entirely.[4,5,6] In the United States, congressional scrutiny of the audit-consulting conflict has recurred periodically since Sarbanes-Oxley, without yet producing a structural breakup, though the pattern of state-level actions abroad puts continued pressure on that possibility.

The client-loyalty pressure is smaller in scale but arguably more telling, because it cuts against decades of observed behaviour. BCE's decision to run a genuine competitive tender for its audit — ending a Deloitte relationship whose roots go back to a company founded in 1880, in favour of EY starting with the 2025 financial year — is notable precisely because switching of this kind has historically been so rare.[11] When the average public company keeps the same auditor for decades, one high-profile switch is a data point worth taking seriously.

VIII. What Fills the Vacuum

If the current model is genuinely under pressure, the more interesting question is what replaces it, and at least three answers seem plausible — not as mutually exclusive predictions, but as three forces likely to erode the incumbents' position simultaneously.

The first is simple insourcing. If the core value the Big Four supplied was cheap, reliable labour for data extraction and document review, and a company's own staff can now direct an AI system to do most of that work internally, the case for paying millions of dollars to an outside consultancy for an opinion the client could largely generate itself weakens considerably.

The second is genuine competition from smaller firms. AI narrows the gap in achievable output quality between a firm with 300,000 employees and one with thirty, because the technology that used to require an army of juniors to operate at scale is now available off the shelf to anyone. Headcount stops being the moat it once was.

The third, and most disruptive, is the disappearance of the firm as the necessary unit of production altogether. Historically, serious audit or consulting engagements needed more labour than one person could supply in a reasonable timeframe, which is why these firms were built around large staffs supporting a smaller number of partners. If AI can now do the bulk of that supporting work, a single practitioner with fifteen or twenty years inside one of these firms — someone who genuinely understands what clients are paying for — could plausibly deliver comparable output alone, undercutting the incumbents on price precisely because they carry none of the overhead of a 300,000-person partnership.

None of these outcomes requires the others to be wrong. It is entirely possible that large clients insource routine work, mid-sized clients shift toward boutique competitors, and a new tier of independent "super-professionals" picks off the most bespoke, highest-margin engagements — all at once, chipping away at the same incumbent model from three directions simultaneously.

IX. Summary

The Big Four accounting and consulting complex was built to solve a real problem: multinational companies needed one consistent, trusted outside verifier operating across dozens of jurisdictions. Over half a century, that role calcified from a genuine service into a switching-cost trap, in which the safety of hiring a famous name mattered more to clients than the quality of the work delivered. The firms then layered a structurally conflicted consulting business on top of their audit reputations, generating real scandals when confidential information crossed from one side of the business to the other. Regulator inspection data shows the underlying audit work has been getting measurably worse for years, independent of any AI involvement. Generative AI now arrives as a double-edged disruption: it strips away the labour-cost advantage that justified these firms' enormous scale, while simultaneously being blamed — as in Deloitte's 2025 Australian report — for producing exactly the kind of unreliable work the firms exist to prevent. Antitrust action in Australia and the UK, alongside the first visible cracks in decades-long client relationships, suggests the assumption that a small number of giant firms must sit at the centre of the world's audits, advice and ratings is no longer as secure as it has been for the past hundred years. What replaces it is not yet settled.

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